45 percent more before tax and part of these increases would be kept in reserves; one reserve would be managed by growers and the other by cotton companies (collectively or individually). Producer associations would thus accumulate reserves in good years, which would enable them to assist their members in bad years. Such a scheme would not eliminate the need for subsidies, but this need would occur much less frequently. 15. Market Regulations are Needed. Because cotton is an annual crop requiring large investments which have to be amortized over many years, the sector has to be liberalized cautiously. It is important to prevent entry of traders aiming at making a quick profit without concern for the future of the sector, because they have no sizable investments in it. In several countries, the entry of such traders led to poaching, credit arrears, decline in the utilization of purchased input, and ultimately the stagnation of cotton production. A decade ago, it had too often been assumed that once parastatals would have been dismantled and prices liberalized, the private sector would step in automatically to fill up the vacuum. But it did not occur either in Ghana or in Tanzania and, after the previous credit and distribution system had been dismantled, it proved difficult to establish a new one. 16. The CSPR is an Original and Interesting Experiment. The objective of the reforms in Benin was to preserve the advantages of the public monopoly after having replaced it by several private companies which became mere partners. The new decision center became a group of stakeholders with the CSPR as its executive arm. The CSPR was a clearing house for all the financial transactions of the sector. It was created to insure full recovery of input credits and timely payments. The new system is highly regulated and required the creation of new institutions. The system has been working satisfactorily in 2001/02, but its net benefits have still to be assessed. 17. Local Sales. The share of cottonseeds in the earnings SOFITEX and CMDT has more than doubled in the last six years, which shows that the fiber byproducts remained undervalued for many years. Further gains can be achieved, since the demand for cattle feeding is not yet satisfied. But performances by local textile industries have generally been disappointing. Although they acquired the fiber below world market prices, they seldom succeeded in becoming internationally competitive. In Tanzania and Zimbabwe, the reduction of subsidies after liberalization of the cotton sector led to a sharp retrenchment of the local textile industry. 18. Sequencing of Reforms. As shown by the experience of Ghana and Tanzania, liberalizing the purchase of seed cotton can induce poaching if appropriate measures have not been taken to insure full recovery of input credits; experience has shown that, once poaching has become widespread, eliminating it is difficult. The sector can be liberalized more easily when world prices are high than when they are low. This does not mean that nothing should be done when world prices are low; it suggests that emphasis should then be placed on measures which can reduce production costs with minimal risks of destabilizing the sector. 19. Main conclusions: a. An efficient credit system allowing small farmers to acquire quality inputs in a timely manner is a prerequisite for developing the cotton sector and reducing poverty. For this purpose, a direct link must be preserved between the payment of seed cotton and the recovery of input credits.